



Product Manager Discovery Skills Assessment

Background:

You are a Growth Product Manager responsible for optimizing the performance of a subscription-based streaming service. The key metrics to consider are Customer Acquisition Cost (CAC), Average Revenue Per User (ARPU), and User Lifetime.

Data:

- Customer Acquisition Cost (CAC): \$20
- Revenue Per User (ARPU): \$10 per month
- User Lifetime: 1.7 months

Problems:

- Product unit economics are not optimal.
- The payback period does not enable the business to continuously invest in marketing and product development.
- The current subscription model is not enabling revenue growth.

Task Overview:

Your task is to analyze the provided data and identify potential issues affecting the product's performance. Based on your analysis, propose actionable solutions to address the identified problems and improve the overall growth and profitability of the streaming service.

Instructions:

- Analyze the provided data (CAC, ARPU, User Lifetime) to identify any discrepancies or areas of concern regarding the product's performance and unit economics.
- Based on your analysis, identify specific problems that may be hindering the growth and profitability of the streaming service. Feel free to add assumptions and build on top of it.
- Propose actionable solutions to address each identified problem. Ensure that your solutions are feasible and align with the business objectives.
- Present your findings and proposed solutions in a structured format, including clear explanations and supporting evidence where necessary.

Evaluation Criteria:

- Ability to identify problems and opportunities based on data analysis.
- Clarity and coherence of proposed solutions.
- Alignment of proposed solutions with the business objectives.
- Feasibility and practicality of proposed solutions.
- Overall presentation and communication skills.